FROM THE
EDITOR-IN-CHIEF

The information technology industry has been one of the remarkable success stories of the Indian economy. From $30 billion in 2005-06, it has grown to $282.6 billion currently, contributing 7 per cent to the country's GDP. It thus became one of the primary job creators in India in recent decades, employing close to 7.3 million people. And it did this organically, with minimal government assistance.

Recently, the industry received a rude shock when Tata Consultancy Services, India's most prominent IT firm, announced the biggest layoffs ever in its history—as many as 12,000 workers, about 2 per cent of its entire global staff. Earlier, employees in foreign companies losing jobs would say they had been 'Bangalored'. Now, the reverse is happening. The immediate context may give it the appearance of a cyclical trough. IT giants are facing severe strains on their profitability. In the last quarter of FY25, big IT services firms saw revenues drop for the first time since the COVID summer of 2020. TCS lost 28 per cent of its market value last fiscal, falling from Rs 15.5 lakh crore to Rs 11 lakh crore. Infosys, the other iconic IT giant, dropped 19 per cent. It has also shed jobs, as have HCL and TechMahindra. The phenomenon is severe and its causes and implications for the Indian economy worthy of examination.

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It seems there is an existential panic in India's IT sector, of a kind it has never faced before in its three decades of global prestige. From a long-term perspective, what is happening is a structural reset, and not just a seasonal blip. The post-COVID spurt of 'revenge hiring' in FY22 saw one million new recruits across the sector. But that plateaued soon; the next three fiscals together added only 1.26 million. The projection for FY26 is 520,000, half of FY22. The top six IT companies hired just 3,847 people in the first quarter of FY26, a precipitous 72 per cent drop from 13,935 in the preceding quarter. Entry-level hiring has fallen by half compared to before COVID. Starting salaries have been stuck at Rs 3.5 lakh per annum for over 10 years.

Fluctuations on the job graph are only the surface symptom of deeper shifts. If the very function that technology performs is changing, it stands to reason that jobs that fulfilled older needs won't stay immune. TCS attributed its layoffs to "skill mismatch" and "limited (re)deployment opportunities" for its mid- and senior-level employees rather than to the arrival of Artificial Intelligence (AI). There's some truth in that. Indian IT firms have traditionally relied on a high-volume, low-value employee base that soaked up outsourcing work. Such a pyramid typically has an army of drone bee techies at the bottom, and an uptake from there into the middle and upper tiers of those who turned into 'people managers', leading teams and chasing targets rather than handling technology itself. This band of 30-40-year-olds is, predictably, the one staring at obsolescence.

But as Managing Editor M.G. Arun and Associate Editor Ajay Sukumaran analyse the flux in the IT job market for this week's cover story, the long, advancing shadow of AI certainly looms as one of the factors impinging on it. India's IT sector is not a monolith; it has different parts with different occupational profiles and knowledge/ skill levels. IT services firms, with 2.6 million employees, handle routine software and system management work. Below them are the typical back-office operations of BPOs, manned by about 1.4 million of those unflatteringly labelled 'tech coolies'. By contrast, Global Capability Centres (GCCs), where foreign majors directly employ 1.8 million in India, operate higher up the value chain in software development, AI-driven data analytics and innovative R&D. That nimbler skill set is also a key prerequisite in big tech companies like Amazon and Microsoft, who employ 1.5 million here. Closing this value gap entails catching up in terms of knowledge and skill adaptation. This evolutionary trigger is behind the shift from bloated managements to flatter, lighter, more agile structures. K. Kirthivasan, TCS CEO, says they are moving away from the traditional 'waterfall' project management—a linear sequential approach—to a more agile, product-centric model, reducing the need for conventional project and programme managers.

The storm called Donald Trump just happened to make its disastrous landfall on Indian shores at the worst time. Indian IT companies had to stop hiring senior managers right after he was re-elected. US clients, who provide 70 per cent of Indian IT business, are also cutting spending. But over and above transitory events, one sees the birth pangs of a new order—a time when AI can do coding 20-40 per cent faster, data analysis 50-70 per cent faster, and routine data centre work 70-90 per cent faster. Buzzwords like 'billability', which quantifies the value an employee brings to a client, reflect only an ad hoc anxiety around revenues. Both Indian IT, and the university system that feeds it with a workforce, need a vastly deeper redefinition of their fundamentals.

The very nature of infotech is changing. We have crossed over into the Fifth Industrial Revolution that emphasises human-machine collaboration using advanced AI, robotics and the Internet of Things (IoT). It's a transformative time, a moment of reckoning. AI is now a manifest presence across industries. In its ingress into businesses and downstream software services, it's a creative disruptor that's changing the ground rules all around. A significant portion of revenue for global IT is shifting from 'run-the-business' to transformational work, or 'change-the-business'. India's IT giants need to change fast, and drastically, if they have to remain the Sultans of Silicon.

(Aroon Purie)